Company $\xrightarrow{\text{earns}}$ Interest from Current Investments

Company $\xrightarrow{\text{pays}}$ Interest on Short Term Debt

The company generally discloses the rate of return on investments and cost of short term borrowings in the notes to accounts. We can go through them and understand these better.

We need to understand the purpose of current investments and how the company intends to utilize the same. We can also look into how the company has utilized the same in the past.

In this case, the accumulated Current Investments were used to acquire another company and pay significant dividends. The company invested in current assets to maintain liquidity in order to proceed with the purchase.

As seen, the number has gone down to 2 percent in FY 2021. This was primarily because the current investments were utilized for purchase of stake in another company.